IRDAI - OFFICIAL REGULATORY DIRECTION
IRDAI Guidelines on Credit-Linked Insurance Free-Look Period and Coercion Prevention

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Chapter 1: Operational Compliance Guidelines (DOC_011)

Clause 3: Anti-Bundling Mandate and 30-Day Free-Look Cancellation Period

3.1 PROHIBITION ON MANDATORY INSURANCE BUNDLING
Corporate agents and NBFCs shall not compel any loan applicant to purchase credit-life or personal accident insurance from a specific partner insurer as a precondition for loan sanction.

3.2 EXTENDED 30-DAY FREE-LOOK CANCELLATION PERIOD
Every borrower purchasing a group credit-shield or individual life policy alongside a loan is entitled to a mandatory 30-day free-look period from the date of electronic receipt of the policy bond, regardless of whether the policy was sourced online or in person. Refund of premium must be credited within 7 working days of cancellation request.

Chapter 3: Operational Compliance Guidelines (DOC_011)

Chapter 4: Operational Compliance Guidelines (DOC_011)